

The Social Radars

S1: Tony Xu, Founder & CEO of DoorDash

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Today, we're catching up with the fabulous Tony Xu, founder and CEO of the food delivery service DoorDash. Tony and his co-founders were students at Stanford when they first launched DoorDash as a class project. Y Combinator funded them as part of its summer batch in 2013. In this episode, Tony takes us through version one of their idea to what is now a public company operating in 27 countries across the globe. Hi, Tony.

Tony: Hey.

Jessica: How are you? Glad to have you on board. Carolynn was just saying she used DoorDash last night, just so you know.

Carolynn: Yup. I sure did.

Jessica: I'll save this for later, but I do have to devote a small amount of time during this podcast to talk about the evolution of my DoorDash fandom, because it's so big. No, we're really excited to have you. So I want to actually ask about your childhood, because I feel like you once told me that you had a lot of connections to small businesses. Is that true?

Tony: Yeah, that's true. I came to the US when I was five, and I came with my parents who immigrated from China and came to the States with \$200 in the bank and really wanted to make a better life for all of us. And I think looking backwards, it's super crazy, but back then, I was just excited for the unlimited Coke I could drink on the flight over. But we immigrated to Illinois, where my dad got his degree at the University of Illinois in aeronautical engineering. And to kind of put food on the table, my mom worked three jobs every day for actually the first 12 years of my upbringing.

Jessica: Three jobs?

Tony: Three jobs. Yeah. And all of those jobs are in small businesses. So she worked at a restaurant. She worked at a nursing home. She worked as a babysitter. All of them were really forms of small business. I mean, I don't think I knew about it at the time. I mean, I washed dishes alongside her inside of a Chinese restaurant. But I think outside of that, I kind of just took for granted that the places where we worked was really a great way for me to get to know the neighborhood, and honestly a great way to learn English and a great way to hang out with my mom.

Carolynn: Yeah.

Jessica: How many siblings did you have?

Tony: Only child. So back in the day, it was a one-child policy, and that was fairly strictly enforced in China. And so, once I arrived, it was kind of the end of the journey.

Jessica: Oh, wow.

Carolynn: That's amazing.

Jessica: So you spent a lot of time with your mom then helping her out.

Tony: I did.

Jessica: Being in a restaurant, doing dishes, that was very a normal thing. So tell me though, were you in Champaign-Urbana?

Tony: Yeah. We were in Champaign-Urbana.

Jessica: Okay.

Tony: That's right.

Jessica: So you grew up there, and where did you go to college?

Tony: I went to Berkeley, in the Bay Area.

Jessica: Okay.

Tony: Yeah.

Jessica: Okay. What did you major in? I think it was something like math.

Tony: Yes. Industrial Engineering and Operations Research, which was really an applied math major. At Berkeley, it has a history starting in the math department then moving out into the engineering school.

Carolynn: Did you decide to go to Berkeley because you knew you wanted to do that, or did you just want to get out of Illinois? Or how'd you pick Berkeley?

Tony: No, no, no. I moved in the middle of high school from-

Carolynn: Oh.

Tony: Yeah, from Illinois to the Bay Area. And honestly, it was culture shock. Where I grew up, it was a place that rewarded athletics more so than academics. And so, I grew up playing

a lot of sports, and that's kind of how I learned to make friends, speak the language, and really integrate into, I think, all the different communities and neighborhoods and schools that I... I moved around a lot too. As our financial situation kind of got better, probably from kindergarten through eighth grade, I moved to four or five schools.

And so, I think playing sports is a nice way of making homogenous my experience, and it was a nice way for me to communicate to a lot of different people. But in high school, so we moved out to the Bay Area, and I finished school here, but it was a huge culture shock because, obviously, in the Bay Area, academics is kind of A, B, C, D, E, F, G, and then there's the other letters of the alphabet reserved for other activities.

And so, for me, it was a 180 switch from being this jock almost to being this nerd. And so, no, I decided to stay close, and it was a choice between going to Cal and a private school on the East Coast. And we didn't have the means to make it super comfortable. To go to college, I would have to take out a fairly big loan. So instead, I chose the school that I thought I could afford if I had to pay for it myself, and that's what I did. So I worked and paid for majority of my college expenses at Berkeley.

Jessica: And then you went to Stanford Business School?

Tony: Mm-hmm. Years later. Yeah.

Jessica: Okay. So there was a break?

Tony: About four years, four years in between undergrad, graduation, and starting the GSB at Stanford.

Jessica: What made you want to start the GSB at Stanford?

Tony: It's a great question. I was working at the time for the CFO at eBay. His name was Bob Swan. And through that experience, I got to know John Donahoe, the then-CEO of eBay. And it was actually on John's advice to apply to both business school, but specifically to Stanford. And his advice was really in the form of developing me more as a person and less almost academically or professionally.

He thought that business school would teach me much more about the human side of how to do business versus say the just, I don't know, academic fronts and more traditional forms of learning. And he thought that that's how it helped him, and he thought that it might help me in a similar way. And so, I applied. I was fortunate to get in, and I went.

Jessica: Okay. So tell me, this is where things all begin with DoorDash, right?

Tony: Yeah.

Jessica: Tell me about the earliest moments of DoorDash and how that all came about.

Tony: Yeah. It's actually good timing. I mean, literally, today is 10 years after when I completed the first delivery at DoorDash. Now, then, it wasn't called DoorDash, I'll tell you about that. And so, going into Stanford, I did not think I was going to go and start a company. Let me start with that. That was not why I went to Stanford. I went to Stanford because a leader I really admired told me that it might help develop me in certain ways, actually mostly non-professionally.

And I got to meet a group of folks. I really loved that they became my co-founders. I mean, we became friends first. We weren't looking to start a company together. It was really a pair of two roommates, me and Evan from the business school, Stanley and Andy from the undergrad. Actually, they were CS majors at the time. And we met through different classes, actually. Got to be friends, worked on a few projects. And one of the courses that we took, all four of us, it happened to be at the same time, was a class on just working on different projects. I think it was called Startup Garage.

Jessica: Oh, wow.

Tony: Yeah. The goal was to launch different projects. I don't know if they actually thought any of the projects would become into businesses. It wasn't how we thought about it either. But what united the four of us was always, in our different ways, an interest and a desire to help small businesses. I had my own story, but my co-founders kind of have their own as well. And that's why we got together. And we actually worked on different projects. We worked on one project to build marketing tools to help small businesses figure out whether or not they're spending efficiently. We worked on another project to help small businesses launch a product into the corporate, not just the consumer segment.

Both of those maybe lost our interest at some point in time. And through this journey of working on projects, we spoke to hundreds of small businesses, and these were businesses in different categories. Some were restauranteurs. Some were retailers. And it was just surprising to us how often a few of them told us that they struggled with deliveries, which we kind of honestly dismissed at first. But one of those conversations was with a macaroon store on University Avenue.

Jessica: What was it called?

Tony: The store name is Chantal Guillon, and Chloe was the store manager. I still remember this conversation where we were just asking her, "Can you tell us about everything you do?" And we kind of just followed her or shadowed her, for lack of better words, for about, I don't know, an hour. And at some point, she went into the back room, grabbed out a book of... They happened to be just orders that she had turned down. All of them had one thing in common. They were all delivery orders.

So she literally had written down customer information, payment details, the exact order detail, and could not fulfill that order, losing hundreds, thousands of dollars per week, which, for a small business, is a huge deal because it's a cash flow business. Yeah. And when we asked her, "Why are you turning away all of this business?" And she said,

"Look, I'm a one-person, maybe sometimes two-person shop. Who's going to do the deliveries? This is not why I started this store. It's not why I work here. It's not why I get up every day."

What excites her is her craft and talking to customers. That's not logistics. That's just not the why nor the excitement. And so, we said, "Okay. Maybe there's something here." And that's really how we got the idea to get into delivery for DoorDash.

Carolynn: I'm just curious, would you just walk into stores and be like, "Hey, can we talk to the manager and then hang out for a while?"

Tony: Yeah.

Carolynn: Or do you use connections?

Tony: No. No. We literally walk door-to-door. I mean, even to this day, I have restaurateurs who will text me or call me directly because I walked into their stores, I washed dishes, I prepped salads, I helped them with accounting, whatever the task of the day is. You have to remember, for small business owners, they have 50 things on their to-do list almost every single day. And usually, it's very tough where there's 50 of those things and one or two of them as individuals to do the work. Right? And so, they'll take any help they can get. And so, I was effectively free help. And it was a great trade because I got tons of information about who they were as individuals, their stories of why they got into what they do, and even a business idea.

Jessica: Was anyone ever non-receptive in Palo Alto? I'm just curious since I used to live there.

Tony: Yeah. I'm sure there were, but I don't know. I mean, on these sorts of things, I think it's the conversations that you remember that tend to be the ones that matter and they tend to be the ones that count. And so, maybe not everyone was fully receptive, but it still was great.

Jessica: So you talked to a lot of potential users, and then the four of you said, "Hey, we're seeing a trend here." What did you do next? Did you say, "Let's start something," or did you just say, "Let's just pursue this for our class a little bit further"?

Tony: No, no, no. So the way I always think about, frankly, products, I wouldn't even say businesses, I would say products first, is, what problem are we trying to solve? And why hasn't it been solved before? I mean, we live in a capitalistic place, largely speaking, and that means... I don't know. Delivery is not a new idea. If delivery is so easy to think of as an idea, how come 99% of stores do not do their own deliveries? And so, we said, "Well, maybe the reason is because nobody wants them to. Maybe no consumers want delivery. Maybe places like New York City are just special snowflakes and they like delivery, but everyone else, maybe they don't like delivery."

And so, we said, "Okay. Well, the first question we should ask ourselves is, is there a consumer problem here? Is it that there's no delivery in America," this is 2013, "because

nobody wants there to be?" And so, what we did was we literally, on a Saturday, and this is January 12th, 2013, we put up a landing page. I wouldn't call it a website. Okay. I call it a landing page with PDF menus, eight PDF menus of restaurants in Palo Alto that we, as students, would frequent all the time. And then we put a Google Voice number that rang the cell phones of all four of us, all four of us founders, if somebody wanted to place an order.

I mean, you could not transact through this website. It was called paloaltodelivery.com, because for \$10, it was available on any hosting service. We got it. And literally, I mean, I want to say it was an hour, an hour and a half after putting this up, we got our first order.

Carolynn: No.

Jessica: An hour after.

Carolynn: An hour and a half. Wow.

Tony: Yeah. Listen, I mean, look, we didn't send out this URL, paloaltodelivery.com. I mean, it's not the easiest to spell. It's certainly not very scalable. We didn't even think Google would crawl us or be able to when they would index all of the different new content on the internet. But anyways, someone, in this case, a customer in Palo Alto, typed in... We believe the way it happened is, typed in Palo Alto delivery into the browser, probably just hit enter. And because they spelled it perfectly, which is, what are the odds of that? Right? We got our first order, and it was a customer that ordered pad thai and spring rolls. And so, our cell phones rang. It was a real voice on the other side. It wasn't someone just trying to troll us. It was a real order.

Jessica: Yeah.

Tony: So in my Honda, one of my co-founders and I, we placed the order, like a takeout order at this restaurant, and went to the restaurant, collected the items, and made the delivery.

Jessica: And then charged the person when you got-

Tony: Great question. Yeah, because you couldn't transact in any way, shape, or form on the website. I worked at Square kind of the prior summer as an intern, and my job was really trying my best to make sure those card readers at the time would work. This is a while ago. So Square today, obviously a very different company, but back then, it was those white dongles. I don't know if you remember those.

Carolynn: I remember those.

Jessica: Yes.

Carolynn: Yes.

Jessica: Yes.

Tony: It was jacked into the jack of an iPhone. Yeah, exactly. And so, I had a bunch of those-

Jessica: Oh my God.

Tony: ... laying around in my bag. And so, I just took an extra dongle. It's basically my personal Square account where we're running this.

Carolynn: Wow.

Tony: Right? And collected payment.

Jessica: Oh my God.

Tony: So it wasn't the most smooth, shall we say, customer experience. I mean, think about it. You got to scroll through pages of PDFs. You got to call. Right?

Carolynn: Yeah.

Tony: You got to wait for one of the four phone numbers to pick up. You place the order over the telephone, and then you wait for, at the door, someone to swipe your credit card through this card reader. I mean, this is not-

Jessica: So suspicious.

Tony: It's very suspicious and very cumbersome, but it showed us that, "Hey, all we were trying to do was answer this question, do customers want delivery?" That's all we were trying to answer.

Jessica: Yeah.

Tony: We weren't trying to answer the question, "How great of an experience does it have to be to do this A, B, and C?" It was none of that. It was just, fundamentally, if only pizza places and Chinese restaurants offered delivery, if we could offer delivery for the first time from places that never offered it before, would people care?

Carolynn: Yeah.

Jessica: Did you get tipped?

Tony: We did. We did. We did get a tip. We didn't have a way to add the tip, so I think he had a quarter or two from laundry, doing that. So, hey, I'll take it. I'll take it. It's better than zero.

Jessica: Right.

Carolynn: Right. Right, right.

Jessica: Oh my God. Tony, you were almost like comically suited as a startup founder for your eventual idea, like your background. I didn't remember that you worked at Square and you had all these wires and then...

Tony: I know. You just can't tell these stories looking forwards. I mean, you can only tell them looking backwards, or the fact that a key part of how to make DoorDash successful at the scale we are today is really being interested, not just being competent, but being super curious about the math around the logistics, which has a lot to do with what I studied in college. But none of this stuff were things I was thinking of. I didn't study applied math because I thought that one day I would be in the world of logistics.

Jessica: No.

Tony: I mean, I actually wanted to be a cancer researcher. Most of my work as an undergrad was applied math intersected with the fields of molecular biology.

Carolynn: Oh, wow.

Jessica: Oh, wow. You are a logistics nerd. I'm going to just come out and say it.

Tony: Now I am. Yeah. Maybe all of my life I have been, and it was just DoorDash that ripped it out.

Jessica: Okay. So you test it out with the super janky version.

Tony: Yes.

Jessica: You get some customers, you get some bites, then what?

Tony: Yeah. So got super excited that we got our first order, but it was kind of dribbles afterwards. Right? It wasn't like we just exploded. It was nothing like that at all. So from about January of 2013, which was when paloaltodelivery.com launched, to the May time period, we were, I don't know, maybe... We kind of sent out this URL, paloaltodelivery.com, to a few listservs on the Stanford campus. And so, we flyer'd a lot of the dorms and undergrad, grad, anyone that would allow us in the buildings. We kind of were a delivery service effectively only for Stanford. Right?

That's what we were from January to May. That's also when we applied to Y Combinator. That was all the information we had. We were probably seeing about 10 to 20 orders a day. So we were not talking about explosive, out-of-the-gate volume, and we kind of hovered around there. But the one thing that we didn't notice was that while maybe we didn't have an infinite number of customers out of the gate, we had customers that loved us.

And even on this janky product where every time you have to wait for the card reader to swipe correctly and all of this, those same 10 to 12... I even know their names to this day because I was doing the deliveries, and I would see them, and they kept ordering. And so, that gave us the confidence that there's certainly enough to progress to the next stage and maybe try this project out further, and that's really what prompted us to apply to Y Combinator, which we did in that April, May, I want to say, time period, and then we were part of the summer 2013 batch.

Jessica: Yes. So summer 2013, you guys arrived at YC. I'm just curious because it was sort of, our goal in life was, "Someday maybe a company will go public." I mean, never did I think that would actually happen. But anyway, what was your experience like during the summer batch, summer 2013?

Tony: It was great. The first two weeks, I remember, were pretty funny because we're still in school, and a lot of our friends were planning their awesome vacations. And some of them, especially some of our business school classmates, they had these, I guess, jobs that paid bonuses in the summer to, I guess, maybe further entice them or lock them in. We were delivering hummus with my Honda. Right? And so, when people asked us, "Hey, what are you guys doing?" and I showed them the stains in my Honda, they would kind of like smile. And that actually motivated the heck out of us.

It's almost like we had this secret that maybe others hadn't known about yet, and we were just super jazzed. I think this is pretty important. In the early days, so much of why you work on something doesn't have that much to do with how much business activity there is. Right? And we were just super excited about the problem, super excited about working with one another. And the experience of YC, to me, was a big reason why DoorDash ever became a company, because the way we tended to think about things early on was DoorDash up until Y Combinator, even through Y Combinator, I might argue, was really, in our minds, a project.

And remember, the first question we asked about this project was, "Okay. Do consumers want to pay for this service?" That was kind of the first, "Do consumers want this?" But then we asked a couple more questions, and this is really how I still think about a lot of things today. Before we talk about big business idea and all the things that we talked about, public companies or stuff like that, it's like, "Well, what problem are we actually solving? What are we doing that isn't being done before or hasn't been done before?" And then just asking more questions. So the first question was, "Do consumers want this?" The second question for us was, "Would merchants actually pay for this? Would they pay for this?"

And then the third question was, "Do drivers actually want this job?" Right? Because we have three customers. We don't have one consumer. Yes, that's our end consumer, but we have a marketplace where we have consumers, we have these merchants, so restaurants, now increasingly other kinds of stores, and then we have Dashers, the drivers on our network.

And so, that's our business. And we really needed to intimately understand all three, and that's what we did that summer. It's why we did every single delivery alongside our

Dashers, and that was really, really important why we worked inside restaurants. It's why I went door to door to door, all of those stories. I still am customer support for our first 20, 30 merchants. All of that was to understand those three questions. And so, Y Combinator, for us, was really about answering those three questions.

And I remember we kind of almost took this militaristic, if you will, view on answering those questions. It was 10:00 AM to 2:00 AM every single day, unless there was some life or personal emergency, and that's what we committed to one another for those, I want to say it was 11 weeks or so, using demo day as kind of a forcing function of answering those questions, because the way we thought about it was, "Look, whether or not we continue this project is really a reflection on where we're going to spend our time," which is our most valuable asset.

Jessica: And you guys still had one more year of Stanford, right?

Tony: Yeah. Andy and Stanley did. A couple of us had one more year of Stanford. Evan and I, no, we didn't. We graduated, but we just turned away jobs. Right? We just turned away-

Jessica: Okay.

Carolynn: Right. Right.

Jessica: Oh my God.

Tony: But to me, what excites me or how I make decisions on where to spend my time tends to be the following. I mean, it was something that I learned a long, long time ago, way before starting DoorDash, was, where am I going to have the least regrets and the most fun? That's it. And that's kind of how I make the decisions on where I spend time.

Jessica: That's a good motto, rule of thumb.

Carolynn: Yeah.

Tony: I mean, it happened really when I was graduating from college, when again, I wanted to be a cancer researcher. I thought I wanted to be a cancer researcher. And it was when I had achieved a goal of mine at that time, which was to get into this particular grad school that I realized, "Whoa!" When that decision was actually put in front of me where it was a 12-year commitment to go to grad school, it made it really real.

Jessica: Yeah.

Tony: And as a result, I couldn't commit, and I actually 180'ed into a world of business. It's how I even got along the steps of heading into business school. I'm like, "Wow, I'm actually somewhat unemployed at college graduation," which isn't the greatest feeling, certainly not the best present for my parents. I think in those three months where I felt feelings of guilt and apprehension, anxiety, failure, I ultimately got a job and landed on my feet and realized I was going to be okay. And that's when I realized we're going to be fine. The fact

that we got to some of these places, like the fact that I got to go to Berkeley, probably meant that I had the great fortune of being a part of a small collection of people that could do a lot of things.

And so, that lesson was what translated to me and our team when we were thinking about our time through Y Combinator. It's, "Where are we going to spend our time?" And our answer to ourselves was, "If we could answer affirmatively, very clearly, those three questions about would consumers want the service and pay for it, would restaurants pay for the service, and would drivers actually want to do the work for certain pay per hour, then, hey, we're going to actually continue." And we answer those questions first and foremost to ourselves. And then fortunately, just by answering those questions, we also saw growth. That was actually organic growth. We didn't spend any money on marketing.

Jessica: When did you consciously make the decision that you were going to launch delivery in the suburbs? Because I remember that was sort of the big thing, like, "Why not start in San Francisco like everyone else who was doing this?"

Tony: Well, here's the thing. I think sometimes... And you have to do both, which is hard. That's why it's hard to just pick one or the other. But when you start, I think, solving a problem, I really think you got to anchor in one of these two things. So the two things I'm talking about are, what customer problem are you solving? What value can you create? And then the second is, what business are you building? What value can you capture?

And I think in the beginning, you got to really focus on the first, because you just got to know if there's something there. Forget the business for a second. Right? And this is how I thought about the suburbs and the cities. To me, when we talked to customers, because we were doing all these deliveries, we did that actually for the first two years of DoorDash's existence, history, we learned that there was a greater need in the suburbs, because there are fewer alternatives-

Carolynn: Exactly.

Jessica: Yeah.

Tony: ... and because there's just a proximity challenge. Typically, how cities are laid out, frankly anywhere globally, is you have main streets and then you have neighborhoods surrounding them. Now, the distance tends to be much larger as we start talking about suburbs and much closer when we talk about these cities. And in cities, you have the alternative of just walking down the elevator and throwing a rock and probably hitting 100 restaurants. But in a suburb, unless you have a really strong arm, you're not going to be hitting anything. And so, you're going to be driving around. And so, we constantly heard, particularly from families with young children-

Jessica: That's me.

Tony: ... that was the segment that we heard loud and clear kind of, this is who we're going to go and target. We found that to be very true with suburbs. We did not find that to be true when we ran tests in cities. It wasn't like we just said, "Oh, you know what? There's a bunch of people in the cities. We're not going to go do the cities." No. We ran those tests. Well, we just heard a smaller need. And so, again, back to what problem are you solving versus what business are you building, to us, we were just focused on the problem that we're solving and we heard this clear need.

Now, we didn't know at the time whether or not the suburbs would be bigger or smaller or any of that, but what turned out to be true was that where we heard the biggest need turned out to be the biggest business. If you looked at the kind of history of how then the delivery business or the food delivery business in particular kind of accelerated through the past decade, two-thirds of the growth came from the suburbs of the entire industry.

Jessica: Yeah.

Tony: Right? And it kind of makes sense. Right? It comes to where the need was most acute, and it turned out to be in the suburbs where there was just fewer alternatives for delivery.

Jessica: And it may have in fact been Paul Buchheit single-handedly being your first biggest, biggest user. I remember he'd always say, "I've been wanting this forever." And I remember, so in 2013, summer 2013, I had a four-year-old and one-year-old, and I worked full-time, so it was pretty hectic.

Tony: Yeah.

Jessica: I had a little bit of an addiction to Starbucks lattes.

Tony: Okay.

Jessica: And I would order a Starbucks latte to be delivered to me by DoorDash in the morning before I'd go to work, because I didn't have time to stop on the way. And I remember that was magical for me, being able to have something brought to me when I had no time. It was just miraculous. And I know a lot of people felt the same way.

Carolynn: The fact that it was available in my little East Bay hamlet was the best thing ever.

Jessica: Yeah.

Tony: Yeah. Yeah. Over time, over the years, I mean, certainly not when we started, but over the years, I got some funny messages from customers, actually, who would literally email me and ask if DoorDash were available in certain ZIP codes because they're considering buying a new home or moving somewhere, and they wanted to make sure that we'd be there for them. And it's funny, we actually literally put some of these wait lists in place, and it actually literally did help us with some of the prioritization of where we would

launch, because I guess we've become a part of some people's routines. Anyway, so it was a great privilege to have.

Jessica: And then sadly, we moved to England and people would say, "What do you miss most about California? The gorgeous weather?" And I'd say, "DoorDash." That's my answer. But we come back in the summers, and my oldest son now is 13. And last summer, he used my DoorDash account so much that we were, for a short period, shut down for fraud, because DoorDash thought... There were so many orders coming through. They thought it was fraudulent. I mean, it was sorted out immediately. But I think my son now is the biggest DoorDash power user when he comes home. He loves it.

Carolynn: I was going to say, you mentioned families with young kids, but I actually noticed in our suburbs that it was the teenagers. The teenagers who just are gaming don't want to stop, the teenagers who can't drive yet and can't go pick it up.

Tony: Yeah. Yeah. No, the customers grew over time, certainly. I mean, it's funny, you speaking of teens. We have alliances with literally the associations of high school principals. That's a real association, by the way.

Carolynn: Oh, yeah.

Jessica: Oh, wow.

Tony: And it's because we show up quite often to high schools during lunchtimes.

Jessica: Oh.

Carolynn: No, but you can't do that at our high school anymore. They actually said, "No more DoorDash deliveries at our local-"

Tony: Yeah. Yeah. So we're working on that.

Carolynn: It was actually just... I guess it was kind of chaotic, because it happened a lot.

Tony: Yeah. We got called, I guess, to the principal's office. Right? So we got to figure out now-

Carolynn: I know, but-

Tony: ... how to work with these associations and figure that out.

Jessica: I have to ask a really strange question that this just has sprung up in my head. What is one of the strangest problems that DoorDash has faced that you just never would've predicted? Like, you have to have a meeting with the principal because so many students are ordering it. What is something over the years that you never would've thought you'd have to be dealing with?

Tony: Let's see. I think one of the ones that immediately comes to mind is how we work inside of a restaurant. I think one of the things that we started noticing as the service became more popular was that you would literally see maybe 100 Dashers, so drivers, show up waiting for takeout, which obviously causes a bit of a traffic jam inside that store.

The reason why it's something we never would've thought of... I mean, I still remember this very vividly. When we hit 53 deliveries per day, which was an all-time high at the time inside Y Combinator, we celebrated. I remember buying the entire team of 12 people Blue Line Pizza, which is one of our local favorites in the Bay Area. And the reason why I bought pizza for everyone was because I had this bet with the team on how many orders we can do by what day, and then I never thought we could do 50 orders a day. Right?

Jessica: Yeah.

Tony: And the fact that we could have 100 drivers inside one lobby of a restaurant, that never would've crossed my mind concurrently. Right? Never would've crossed my mind. So what do we have to do? We had to literally build our version of a drive-through, with lockers and how you batch orders. And it's almost like that restaurant becomes an airport, if you will, and we're kind of like the taxi queue. I never would've thought of that. That never would've crossed my mind, but that's something.

Jessica: Oh, wow.

Tony: Yeah. They tend to be the things that come with scale that just... There's no way you would've imagined, because when you're just the four of you inside my apartment at the time where we were working at it for the first year, you don't think about all of those things.

Jessica: Right. I remember that apartment, by the way.

Tony: Yeah.

Jessica: We used to drive by it every day to take our son to school.

Tony: Yeah.

Jessica: He went to nursery school at the Stanford campus.

Tony: Okay. Yeah. Yeah. I see that. Right.

Jessica: And you had a DoorDash sign.

Tony: We did. We did. We did.

Carolynn: Well, I'm always interested in how people come up with their names. So you were Palo Alto Delivery, and when did you switch to DoorDash, and how did you come up with the name?

Tony: In late May, and then we officially launched as doordash.com June 21st of 2013. And so, it's a pretty nerdy way, kind of very typical of my co-founders and me of how we did this. So paloaltodelivery.com was the original name. So, very affordable, not super scalable, not a great name. We literally looked up a database of all available domains for under \$10. That was criteria one. Criteria two, two syllables or less. And criteria three, ideally, words that are regular words out of a dictionary versus maybe words without vowels and things like that.

Jessica: You weren't going to pay more than 10 bucks? You wouldn't go up to 25?

Tony: No, because we were running this, Jessica, out of our own bank accounts for the most of it. Remember, YC back in the day... I mean, you remember this. I mean, you're one of the founders. I mean, the sums of dollars back then were a little bit different than the sums of dollars today. Right?

Carolynn: That's true.

Tony: And we paid ourselves nothing and paid all of the YC money to the few engineers we had. Right? And so, that was how we afforded... The first year party was going to a park and playing sports. But back to the name, right? Those were our criteria, and, I don't know, maybe a list of three or four hundred names popped up. We didn't actually circle through all of them. But once it landed on DoorDash, we kind of just said, "Yeah, that's it."

Carolynn: Yes. Interesting about the name too, famously, the double O of Google. It's like there are so many names that people... People try to do that double O, and you got one just that made total sense. It was just the right, perfect name, and you got that anyway.

Tony: Yeah. I mean, I think we got pretty lucky. I mean, but that part, I'll give us some credit. The part maybe I wish I had thought a little bit further ahead was buying the domain in other countries. So we're now live in 27 countries. Didn't really think about that. Again, back to things you don't think about when you're just starting out.

And so, then by the time we had raised our Series A, as you can imagine, there were some services and crawlers out there that effectively buy domain names of companies that have raised capital everywhere in the world, in every country, and then they resell them to you at higher prices.

Jessica: It's almost like you need to do that before you raise a Series A or something.

Tony: Yes. It's probably even earlier these days because the capital at earlier stages is much higher than before.

Carolynn: Super expensive.

Jessica: I have a couple more questions that I want to squeeze in in our time.

Tony: Let's do it.

Jessica: I know you and you're a very disciplined person, and I think that that probably is very important. Running a public company, being the CEO, and having a family. You have two kids now?

Tony: Yeah. A four-year-old and a two-year-old. That's right. Two kids.

Jessica: Okay. So you're in the zone that I was in when I was so desperate that I'd order my Starbucks coffee to the door in the morning. What do you do to make sure that you have time for your family? Do you have any hacks for that?

Tony: My hack for any kind of... I think at any point in time in my life stage of making sure that I have some harmony between work and personal life has always been to set routines. Routines, to me, are another way to set boundaries, because they're in my calendar. Right? For instance, this morning, or all mornings, I drop off the kids. Right? The morning routine is mine. I own that. Breakfast, waking them up, getting them ready, all about that. Breakfast, drop-off, that's me. That's my routine. That's my time. That's protected. Right?

Carolynn: Mm-hmm.

Tony: And then my schedule can start for work, for everything else. Right?

Jessica: Yup.

Tony: And so, I set routines. Routines, to me, are the things that you can keep. Like, for instance, running is one of my routines. I've run almost every single day for 10 years in a row. Right?

Carolynn: Wow.

Tony: It's a routine. What my definition is, is it something that you can stick with? That's it. It doesn't have to be crazy. Right? I'm not saying I'm running a marathon every day or every month or every year or any of that. I'm just saying I'm running, even if it's 10 minutes today. Right?

Jessica: Yeah.

Tony: That's me time. Fine, maybe it was only 10 minutes, but that's really how I do it. Date nights is another example. Before my wife and I had kids, we just had one another. And obviously, running a company, even when it's not public, is very, very stressful and

starting it. And I think in the first seven years, so before we had kids, we maybe missed seven or eight date nights total in seven years.

Jessica: Wow.

Carolynn: That's it? Wow.

Jessica: That's amazing.

Tony: Right? And it's because it was a routine. It was a routine. Like, for instance, even during Y Combinator. This is the craziest example. During Y Combinator, when we were all doing the deliveries, still, my co-founders knew that Friday nights would be date nights. Now, I won't lie. I won't lie. Couple of those date nights, my wife and I were doing deliveries as the date.

Jessica: Sweet.

Tony: So I won't lie. Yeah. Very romantic sometimes. But to me, that's what I mean by routine.

Jessica: Yeah. It's sacred.

Tony: Yeah. Exactly, and they can change. Right? Now my kids actually go to school, so I have school drop-off. That's part of my routine. So that's really what I do to make sure that I can keep harmony.

Jessica: And all of this you're doing being the CEO of a public company, which, again, congratulations. 10 years into things, you're a public company now. It's so exciting.

Tony: Thank you.

Jessica: Is it a lot harder than running a private company, or is it just incrementally harder? What does it feel like to be a public company CEO?

Tony: Oh, I think these are things always you want to just give one answer, which tends to be an average of a bunch of experiences, and then you compare that to the average of a bunch of experiences when we were younger. To me, it's all about, how does the distribution change? Right? So some things get easier. I'm not doing deliveries every single day anymore, but I still do deliveries once a month. I still want to know what's going on. But the things that are more challenging now is, we have a lot more people, and we have over 5,000 employees at the company and we have over three million Dashers that come to our platform and drive every quarter. Right?

Jessica: Oh, wow.

Tony: That's huge. And so, the responsibility, that part of the emphasis, if you will, of my role of... It's not just about products. It's not just about business performance. All of that is very important, but what is our role in terms of the communities that we serve? That's

really important. That's very different when you're four of us and doing 10 orders a day, and now we're a fabric of the communities that we're lucky to serve. We're a part of local GDP. We're part of local trust and safety systems, like the police.

I mean, we're part of literally all of these different networks that really represent the personalities of the neighborhoods we live in. And so, to me, that is much, much more difficult because there's more things to think about. The weight behind each one of those decisions is greater. So like I said, the distribution changes.

Carolynn: What's your favorite part of the job? You look forward to going on those once-a-month deliveries?

Tony: So one of the things that I think is really important, and it's hard to keep as a company grows bigger, is, the natural tendency is to take, I think, leaders away from the problems, "Oh, what can I take off of your plate?" or "No, there are certain things you should be doing and other things you shouldn't be doing. You shouldn't be in all of these details. You shouldn't be talking to all these customers."

And I disagree because, well, A, that's what gets me going, but B, it's also, I think, what's important. Otherwise, maybe we start to almost lose the identity of the company a bit of why we started this in the first instance. And so, for me, I think that is what I enjoy most, like working on the product. If that means doing deliveries, that means doing deliveries. That means answering support calls. I do support 15 minutes a day.

Jessica: Every day?

Tony: Yeah. And it's because I'm just trying to stay close to the pulse. Maybe I'm not literally talking to our users in interviews every day. I used to do that for, I don't know, the first six, seven years, but I want to have a pulse check. I don't want to be removed. I don't want to have things interpreted for me. And to me, I think that's... That at least is what's authentic to me. I'm not saying that that's for everyone, but that's what's authentic to me. I think that's really important also as leaders to be able to exhibit good judgment, because things are always changing.

The world that we live in today, 2023, versus when we started the company in 2013 is wildly different in so many different ways. And one of the things I've made sure to not take myself or our teams too seriously is that because of how fast the world is changing, we can't take our experience nor our previous accomplishments that seriously, because everything is changing. And the only way to have a chance at achieving success, I think, in the future is to almost start over. And that's tough. That's super tough. That's super, super tough to start, but that's kind of the mindset I want, at least us, to have at DoorDash.

Jessica: Can I quickly ask one last question that's more of a fun fact about Tony Xu and not DoorDash?

Tony: Sure. No problem.

Jessica: Well, you've mentioned that as you were growing up, you moved around and sports was a way-

Tony: Yeah. I did.

Jessica: ... for you to meet people and that sort of thing. There was someone very special on one of the sports that you played with. Do you remember that story in the basketball realm?

Tony: I played in AAU basketball, so it's like a league. Right? And it's a lot more professionalized today than it was back then, but it was a competitive league. And for a lot of us growing up in the Midwest, we obviously idolized Michael Jordan. We wanted to become professional basketball players. And one of the players in our traveling league at the time, he wasn't yet recognized as the Chosen One, but his name was LeBron James. Yeah. He wasn't yet the LeBron of today. But look, we were 12, so we have to...

Jessica: How tall was he at 12 years old? How tall?

Tony: I want to say he was maybe a little under six feet. I've been 5'8" my entire life. So I've been 5'8" for over 20-something years. But obviously, that wasn't true for my teammates and it wasn't true for people I played against. Yeah. So no, we got to play in a traveling circuit with LeBron and his team, and it was kind of, we're the Midwest region and people play different teams and that sort of thing.

And this is one of those things where it's just like... Back to talking about what I thought of DoorDash, maybe when it got started or what I thought about my own personal journey, or even in this basketball story, it's like, it's so hard to know what's going to happen 10 years out.

Carolynn: Yeah.

Jessica: Yeah. That's right.

Tony: And in any profession, whether it's basketball or, I don't know, business or maybe cancer research or whatever, if you put in that work day in, day out and you just focus on those inputs, I mean, great things can happen. It's really hard. I mean, there needs to be a lot of hard work and luck and other things and others around you, but man, if you put in that work, it's pretty incredible sometimes what the outcomes could be.

Jessica: Aw.

Carolynn: Aw. Yeah.

Jessica: Well, you guys have an incredible story, and we better let you go take your kids to school now-

Tony: Thank you.

Jessica: ... speaking of your routine. But congratulations. I mean, 10 years, 10-year anniversary for DoorDash.

Tony: Thank you.

Jessica: We're so happy for you, and it was so much fun catching up with you today.

Tony: Likewise.

Carolynn: Yeah. It was great to see you, Tony. Thank you.

Jessica: Thank you.

Tony: Thanks so much, Jessica. Thanks, Carolynn.

Jessica: Bye.

Carolynn: See you. Bye.

Jessica: Oh, Carolynn, that was so much fun.

Carolynn: Tony's great. He is great. I think the thing he said at the very end was actually the coolest thing, which is like, you can't rest on your laurels because the world changes so much. It's just inevitable. The world's going to change. And so, if you're going to sit there and think like, "I did all this cool stuff back when," and you're not continuing to do cool, interesting stuff, that's on you. You got to evolve. It's kind of an obvious thing, but it's like, he said it really well, I thought.

Jessica: Yeah. He had a lot of really good insights. And I'm kicking myself because there were so many things I didn't get to ask him. Also, I forgot to ask him about DoorDash during COVID.

Carolynn: Yeah.

Jessica: I mean, didn't it blow up then in a good way? Oh, I just-

Carolynn: No, I'm sure. I'm sure. And the other thing I was kind of curious about all this... This might be too in the weeds, but I was like, "They must have looked at Domino's, because Domino's was delivering pizzas to the suburbs for decades."

Jessica: Yeah.

Carolynn: And I don't-

Jessica: But I never ordered from Domino's, ever.

Carolynn: But I never ordered from it either. And then, so it's like, "What? Why?" But people did, of course. So it's like, what were the learnings from the pizza delivery business that they then applied to DoorDash? There are just so many things you could ask Tony. So many things.

Jessica: I know, maybe not for this podcast, but you could really get deep in the weeds about delivery, logistics, and organization, and all of the fine-tuning that has to happen. I mean, I was talking to Paul before this podcast and he was saying, "Basically, DoorDash is an organizational work of art." And I loved that quote.

Carolynn: That's really good.

Jessica: I love that quote. And actually, I should tell Tony that, but it is. It's so much more complicated than I think most people understand, most people think it would be.

Carolynn: Totally. And a great example is, when DoorDash is in a town, they have to be connected to the cops. They have to be connected to the school principals. And that's before they even start connecting with the merchants.

Jessica: Right. Right.

Carolynn: And I'm sure there's 100 other examples of orgs that they need to make sure are going to be okay and work smoothly and that they're not going to ruffle feathers, and so many things.

Jessica: Oh, gosh. Who is in charge of launching in a new country? Oh my word.

Carolynn: Oh. Yeah. And international is a whole other can of worms.

Jessica: Yeah. Oh my gosh. Well, I'm so happy for them, and I think it's so exciting that the timing worked out that we interviewed him 10 years to the day-

Carolynn: I know.

Jessica: ... that they put up that little website, that PDF-

Carolynn: I know.

Jessica: ... saying, "Order here." It's such a nice story.

Carolynn: I'm sure they still own that website. Now, I'm going to go to paloaltodelivery.com. Actually, it probably redirects, now that I think about it. It's probably just an auto-redirect, but that would be so fun.

Jessica: I think they probably took care of that.

Carolynn: Well, I'm sure they did, but it'd be great if there was some little banner there like, "This is DoorDash archive or history," or whatever. Anyway...

Jessica: Well, that was a lot of fun. I'm glad we got to talk to Tony.

Carolynn: Same.

Jessica: And I'll talk to you later, C. Levy.

Carolynn: Okay. Talk to you soon.

Jessica: Okay. Bye.

Carolynn: Bye.